

SS1 Commercial Track: Economics Diagnostic (Part 2)

Scope: Demand, Supply, Market Forces & Population

Questions 21 - 40

No.	Question & Options	Ans	Diagnostic Focus
21	The Law of Demand states that, ceteris paribus, the higher the price: A) The higher the quantity demanded B) The lower the quantity demanded C) The lower the quantity supplied D) The quantity demand stays constant	B	Basic Law of Demand.
22	A Demand Curve typically slopes: A) Upwards from left to right B) Downwards from left to right C) Horizontally D) Vertically	B	Graphical representation.
23	'Effective Demand' is demand backed by: A) Needs only B) Ability to pay C) Government approval D) High quality	B	Core Terminology.
24	Which of the following describes 'Complementary Demand'? A) Tea and Coffee B) Car and Petrol C) Beef and Mutton D) Pen and Pencil	B	Types of Demand relationships.
25	An increase in the price of a substitute good will cause the demand for the original good to: A) Decrease B) Increase C) Stay the same D) Drop to zero	B	Substitution effect logic.
26	Market Equilibrium occurs when: A) Supply is greater than demand B) Quantity demanded equals quantity supplied C) Price is zero D) The government sets the price	B	Price Determination.
27	A 'Price Ceiling' is a maximum price set _____ the equilibrium price. A) Above B) Below C) Exactly at D) Unrelated to	B	Market Intervention (Tough).
28	Price Elasticity of Demand measures the responsiveness of quantity demanded to changes in: A) Income B) Taste C) Price D) Supply	C	Definition of Elasticity.
29	If a small change in price leads to a very large change in quantity demanded, the demand is: A) Inelastic B) Elastic C) Unitary D) Perfectly inelastic	B	Degrees of Elasticity.
30	Which of the following is a factor that increases supply? A) Increase in cost of production B) Improvement in technology C) Decrease in number of producers D) A new tax on products	B	Determinants of Supply.
31	'Joint Supply' refers to: A) Goods produced together from the same source B) Goods demanded together C) Goods that serve the same purpose D) Supply by two different companies	A	Types of Supply.

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32	Which population theory is concerned with the relationship between food supply and population growth? A) Malthusian Theory B) Demographic Transition C) Optimal Population D) Say's Law	A	Population Economics.
33	Overpopulation occurs when a country has: A) Too much food B) Resources that match its population C) More people than its resources can support D) A very high literacy rate	C	Resource/Population balance.
34	The 'Working Population' usually includes people between the ages of: A) 0 - 15 B) 15 - 64 C) 65 - 90 D) 10 - 80	B	Demographic concepts.
35	Birth rate is calculated as the number of births per: A) 100 people B) 1,000 people C) 1,000,000 people D) Person	B	Statistical measurement.
36	Net Migration is calculated as: A) Immigration + Emigration B) Immigration - Emigration C) Birth rate - Death rate D) Population / Land area	B	Migration logic.
37	What is the main reason for Rural-Urban migration? A) Better climate B) Search for better jobs and amenities C) To farm D) To avoid taxes	B	Applied demographics.
38	In a graph, if the Supply Curve shifts to the right, it indicates: A) A decrease in supply B) An increase in supply C) A change in quantity supplied D) A price increase	B	Graph analysis (Shift vs Movement).
39	Which of the following is an 'Inferior Good'? A) A luxury car B) A good whose demand falls as income rises C) A good whose demand rises as income rises D) Gold jewelry	B	Income Elasticity concepts.
40	Diagnostic Logic: Q27, Q29, and Q38 test graphical and technical reasoning. Failure here suggests a student may struggle with the SS2/SS3 abstract economic models.	-	Forecasting Success.